

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**CMI' S MEMORANDUM OF EXCEPTIONS TO CONCLUSIONS IN INITIAL
DECISION AND A SUPPORTING BRIEF**

Brendan Collins
GKG LAW, PC
1055 Thomas Jefferson Street, NW
Suite 500
Washington, DC 20007-4492
Telephone: (202) 342-6793
Facsimile: (202) 342-5299
E-Mail: bcollins@gkglaw.com
*Attorney for Complainant, CMI
Distribution*

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I. INTRODUCTION

Pursuant to Rule 227 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227 (2013), Complainant, CMI Distribution, Inc. ("CMI") hereby respectfully submits its Exceptions to the Initial Decision ("I.D.") served in this proceeding on May 24, 2019.

As set forth more fully below, CMI challenges the portion of the I.D. which, without legal analysis or discussion, permits Service by Air, Inc. ("Service by Air") to retain \$121,815 it collected from CMI despite the fact that Service by Air at no time was licensed to operate as an ocean transportation intermediary (either as a non-vessel operating common carrier (NVOCC) or as an ocean freight forwarder, and never had a tariff on file with the Commission.

The I.D. allows Service by Air to retain funds collected from CMI because purportedly Service by Air paid this money to other transportation providers. In allowing Service by Air to

retain such amounts improperly collected from CMI, the I.D. runs afoul of the plain language of the Shipping Act of 1984, 46 U.S.C. §§40101 *et seq.* and Federal Maritime Commission (“Commission”) regulations which dictate that rates and ancillary charges only may be collected when set forth in a tariff on file with the Commission and in effect at the time of the shipment. *See* 46 U.S.C. §41104(2)(A). To the extent that the Commission has discretion to disregard the plain language of the Shipping Act which bars the collection of rates not set forth in a tariff, by permitting in the exercise of its discretion a violator to retain out of pocket expenditures -- which CMI disputes -- such discretion was improperly exercised here where Service By Air’s actions were not based upon an innocent mistake. Instead, the undisputed facts establish that Service by Air deliberately and fraudulently misled CMI into believing that it was an NVOCC that had a tariff on file with the Commission, and fraudulently deceived CMI into believing that it was simply passing along demurrage charges being assessed by steamship lines. Accordingly, the I.D. should be modified to permit the recovery of the entire \$248,000 paid by CMI to Service by Air instead of only the \$126,185.00 allowed for in the I.D.

II. CMI’S EXCEPTION TO THE INITIAL DECISION

Accordingly, CMI takes Exception to the I.D.’s conclusion that CMI is not entitled to recover the entire amount of \$248,000 paid by CMI to Service by Air.

III. FACTUAL AND PROCEDURAL BACKGROUND

CMI’s Complaint alleges Shipping Act violations by Service by Air based upon, *inter alia*, its deceptive, unfair, and fraudulent billing practices and its charging of freight and associated rates not in compliance with the rates, charges, classifications, rules, and practices contained in a tariff published in accordance with the Shipping Act of 1984 and Commission regulations. CMI’s Verified Complaint (“Complaint”) at 6-8 (Filed May 23, 2017).

The evidence in the record, as recognized in the I.D., reflects that although Service by Air is not a licensed NVOCC, it held itself out as an NVOCC by asserting it provided the same service as an NVOCC competitor, issuing bills of lading for the shipments at issue, and by providing CMI with what Service by Air falsely represented was Service by Air's tariff. I.D. at 14-19. Service by Air failed to disclose to CMI that it did not actually have a tariff despite acknowledging that it should have done so. *See* Exh. B Tincher Deposition 65:7-11 (Filed April 6, 2018) (included as attachment to CMI's Opening Brief in Support of Its Claim Against SBA ("CMI Brief")). The evidence further reflects that, consistent with having acted as an (unlicensed) NVOCC, Service by Air assumed responsibility for the delivery of CMI's cargo, which responsibility continued until the cargo was delivered to the ultimate destination. I.D. at 28. Service by Air admits that it intentionally did not disclose the identity of Las Freight System Ltd., or any other NVOCC, to CMI because it supposedly wanted to keep things "simple" in its dealing with CMI. Exh. B Tincher Deposition 154:19-22, CMI Brief.

Service by Air issued lump sum invoices to CMI that failed to break out which portion of the freight charges it was assessing were Service by Air's "fees" and what portion of the purported demurrage charges it was assessing were attributable to an underlying carrier. Exh. A10, CMI Brief. In so doing, Service by Air acted as an NVOCC. I.D. at 19. Service by Air also improperly acted as a carrier, and in violation of the Shipping Act by asserting carriers' liens on CMI cargo in its possession, which cargo it refused to release despite the fact that all charges relating to those containers had been paid in full. I.D. at 6. It did this despite the fact that its own employees' expressed doubts as to whether it was legally allowed to do so. I.D. at 18.

As reflected in the I.D., in acting as an unlicensed NVOCC, Service by Air engaged in deceptive and fraudulent billing practices. I.D. at 19. Service by Air charged CMI hundreds of

thousands of dollars in “demurrage” that had no legitimate basis. Exhs. A10, F-1, CMI Brief. These charges were not only not reflected in any published tariff, as is required by the Shipping Act; in many instances they were purely fraudulent. Service by Air charged CMI for hundreds of thousands of dollars in demurrage charges despite acknowledging that no demurrage was actually owed. Exh. B Tincher Deposition 49:5-7, CMI Brief. Indeed, in some instances it charged CMI for extended periods for use of ocean carriers’ containers, when in fact the containers had been returned to the carrier before any charges whatsoever had accrued. Exhs. F, F-1, CMI Brief.

Service by Air issued invoices that failed to itemize the basis for the charges and the time period for which the “demurrage” was allegedly assessed. Exh. A10, CMI Brief. Instead, Service by Air issued invoices, for example, for non-existent container demurrage charges while telling CMI that they were simply pass through costs. Exh. A5, CMI Brief.

SBA compounded its deceptive, unfair and unreasonable practices by exercising purported carrier’s liens and refusing to release cargo in its possession to coerce CMI to pay charges on unrelated shipments. I.D. at 17-18. Specifically, SBA demanded payment of approximately \$267,000 in alleged demurrage charges before it would release fifteen (15) CMI containers despite the fact that the suppliers of the cargo in those containers had been paid in full and despite the fact that there were no outstanding freight, demurrage or other ancillary charges owing on the containers at issue. Exh A-16, CMI Brief. In holding those containers at ransom, SBA violated the Shipping Act. I.D. at 25-26. The egregious nature of this ransom demand is only compounded by the fact that some of the unrelated demurrage charges that SBA demanded be paid were fraudulent because the containers at issue had immediately been returned to the

steamship line and thus no demurrage or detention could have been owing. Exhs. F, F-1, CMI Brief.

The fraudulent and egregious nature of Service by Air's actions is further highlighted by the fact that Service by Air admits that it charged CMI hundreds of thousands of dollars in demurrage charges despite the fact that there was never a time when the containers at issue were in the steamship lines' possession – indeed including for times when the containers had been returned to the steamship lines -- thus there could not have been any legitimate basis for such charges. Exhs. F, F-1, CMI Brief. Service by Air is a full-service transportation provider that provides both ocean and air services. I.D. at 31 (Para 21). The notion that a multimillion-dollar full-service transportation provider could mistakenly have charged for such nonexistent demurrage charges defies belief.

Finally, in determining whether Service by Air is entitled to retain amounts it was paid by CMI despite the fact that it did not have a tariff on file (and was not an NVOCC), it is important to recognize that Service By Air's misrepresentations continued, and indeed became even more pronounced in this proceeding. In filing a Motion to Dismiss, Service by Air baldly asserted that Service by Air "has never participated in ocean transportation," despite mountains of evidence to the contrary. *See* Service by Air's Motion to Dismiss at 1 (Filed June 26, 2017); *see also* I.D. *passim*. Service by Air then doubled down on its misrepresentations to the Presiding Judge by submitting a Second Declaration from Edward Zasada, the regional manager of Service by Air, which stated that it had never represented to CMI that any of the demurrage it was collecting was charged by a steamship line when in fact there were at least eight separate emails in which this false representation was made. Exh. A-6, CMI Brief. Finally, Service by Air falsely informed its partner, Las Freight, that the case had settled, presumably so as to deny CMI access to

information that could be used to prove its case against SBA. Exh. B Tincher Deposition 145:1-12, CMI Brief.

IV. BRIEF IN SUPPORT OF COMPLAINANT CMI'S EXCEPTIONS TO INITIAL DECISION

The Shipping Act expressly provides that rates and accessorial charges may be collected only when set forth in a tariff duly on file and in effect at the time of the shipment. Shipping Act 46 U.S.C. §40501(a)(1); 46 C.F.R. § 520.3(a); *see also Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56 (1965). It has been established for over a century the tariff adherence requirements of the common carrier statutes are so strict that when properly filed, tariffs have the force of law and strict liability is imposed upon carriers thereunder. *See, e.g., Louisville Nashville, R. R., Co. v. Maxwell*, 237 U.S. 94, 97 (1915); *see also, First Int'l Dev. Corp v. Ships Overseas Services*, 20 S.R.R. 209, n. 8 (1980), *rev'd on other grounds*, 21 S.R.R. 393 (D.C. Cir. 1981) (recognizing that amendment to Section 22 of the Shipping Act underscores Congressional intent that tariff adherence requirements be rigidly enforced); *Eastern Mediterranean Shipping Corp. d/b/a Atlantic Ocean Line and Anil K. Sharma, Possible Violations of Sections 10(A)(1), 10(B)(1), and 10(D)(1) of the Shipping Act of 1984*, 1999 WL 125987 at *7 (FMC 1999) (laws providing that only the rate that is in tariff may be charged is of ancient origin). This strict rule applies even if a carrier's failure to charge a filed rate is due to a good-faith, honest mistake. *Id.*

In *Keogh v. Chicago & Northwestern R. Co.*, 260 U.S. 156, 163 (1922), the Supreme Court recognized that the legal rights as between a shipper and carrier are defined by the published tariff. *See also Maislin Indust. U.S. Inc. v. Primary Steel*, 497 U.S. 116 (1990) (Interstate Commerce Act prohibits carriers from providing service at rates other than that set

forth in the tariff). Thus, the law is plain that freight and ancillary charges may only be collected pursuant to a published tariff, and tariff adherence requirements are strictly enforced. *Sea-Land Service Inc. v. Murrey & Son's Co., Inc.*, 824 F.2d 740, 741 (9th Cir. 1987).

Accordingly, pursuant to the plain language of the Shipping Act and the extensive case law (including Supreme Court authority) enforcing the filed rate doctrine, calculation of CMI's damages should begin, and end, with a recognition that Service by Air acted as an unlicensed NVOCC and in doing so allowed Service By Air to retain \$121,815 in funds it deliberately and deceptively collected from CMI that were not reflected in a published tariff as required pursuant to the Shipping Act.

Instead of enforcing the Shipping Act as written, the Administrative Law Judge, while recognizing that Service by Air was at no point a licensed NVOCC, and despite the fact that it never had a tariff on file with the Commission, permitted Service by Air to retain over \$121,000 that it collected from CMI while acting as an NVOCC. This retention was done without any justification or legal analysis.

Admittedly, the Commission itself has on occasion ignored the plain language of the Shipping Act and permitted such recoveries under what it deemed its "discretion." *See First Int'l Dev.*, 20 S.R.R. at 214 (1980). The law is clear, however, that if the text of a statute is plain, courts and the agency enforcing the statute must give effect to the clearly expressed intent of Congress. *Chevron U.S.A., Inc. v. Natural Res. Def. Council*, 467 U.S. 837, (1984). More recently in *Kisor v Wilkie*, No. 18-15, _ S. Ct. __, 2019 WL 2605554 at * 19 (U.S. June 26, 2019), the Supreme Court emphasized that for an agency's actions to be upheld, the language in the act or regulation must be genuinely ambiguous and the agency's interpretation of that language must

be reasonable. CMI submits that given the plain language of the Shipping Act, the Commission's exercise of discretion here would not pass muster. Indeed, in *First Int'l Dev.*, 20 S.R.R. at 215, Chairman Daschback, writing in dissent, noted that the Commission's "discretionary" actions in *First International* were in contravention of the plain language of the Shipping Act and eroded the foundations of the tariff filing systems. *Id.*

The majority of the Commission in *First International*, however, held that the Commission could disregard the language of the Shipping Act requiring that a carrier only recover amounts reflected in a valid tariff, and case law dating back almost a century holding that such language should be strictly enforced, and instead exercise discretion so as to allow the carrier to retain a portion of the amounts collected from the shipper. *Id.* at 214. In so doing, the Commission held that the exercise of such discretion would be dependent upon the circumstances of the particular case.

Here, CMI submits that the Commission is not free to exercise discretion and to ignore the plain language of the Shipping Act. Even if the Commission were to conclude that it does have such discretion, however, this would be a particularly inappropriate instance to do so. As set forth above, the evidence reflects that Service by Air falsely represented that it was an NVOCC and that it had a tariff on file with the Commission so as to induce CMI to contract with Service By Air instead of with a competitor providing lawful NVOCC services. Service by Air then repeatedly misrepresented that it was merely passing through demurrage charges despite the fact that the containers at issue had immediately been returned to the steamship line and thus no demurrage or detention could possibly have been owing. Finally, Service by Air asserted carriers' liens on CMI cargo in its possession and refused to release them, even after all charges

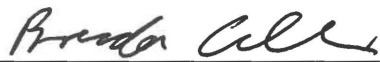
relating to those containers had been paid in full, despite the misgivings of its own employees as to the legality of its actions.

IV. CONCLUSION

Service by Air is a multimillion-dollar full-service transportation provider that concocted and carried out a deliberately deceitful scheme to fraudulently extort hundreds of thousands of dollars from an innocent and naïve shipper. The deliberate and willful nature of Service by Air's actions is evidenced by the fact that the Presiding Judge found it necessary to issue a cease and desist order because absent one, Service by Air was likely to continue to act as an unlicensed NVOCC and to act as a common carrier without a published tariff. I.D. at 20. Given that there are no mitigating factors excusing Service by Air's deceptive actions, the Commission should not exercise its discretion so as to allow Service by Air to retain funds improperly collected from CMI.

For the reasons set forth above, CMI's Exceptions should be granted.

Dated: July 9, 2019

By: 
Brendan Collins
GKG LAW, PC
1055 Thomas Jefferson Street, NW
Suite 500
Washington, DC 20007-4492
Telephone: (202) 342-6793
Facsimile: (202) 342-5299
E-Mail: bcollins@gkgglaw.com
Attorney for Complainant, CMI Distribution

CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 9th day of July 2019:

Steven W. Block
Devra Cohen
FOSTER PEPPER PLLC
1111 Third Avenue, Suite 3000
Seattle, WA 98101-3292
Telephone: (206) 447-4400
Facsimile: (206) 447-9700
E-Mail: steve.block@foster.com
Attorney for Respondents Service by Air, Inc. and Radiant Customs Services Inc.



Brendan Collins